

I.

Request

1. The Office of the Secretary of State for the Presidency of the Council of Ministers submitted to the National Data Protection Commission (CNPd), for opinion, the draft Proposal for Law - PL 413/XXIV/2024 - which authorizes the Government to transpose Directive (EU) 2021/2167, which harmonizes access to and the exercise of management of non-productive bank credits and defines the requirements for credit purchasers - PCM (MF) (Reg. PL 413/XXIV/2024).
2. The CNPD issues an opinion within the scope of its powers and competencies as an independent administrative authority with authority to oversee the processing of personal data, conferred by subparagraph c) of paragraph 1 of article 57, combined with subparagraph b) of paragraph 3 of article 58, and with paragraph 4 of article 36, all of Regulation (EU) 2016/679, of April 27, 2016, General Data Protection Regulation (hereinafter GDPR), in conjunction with the provisions of article 3, paragraph 2 of article 4, and subparagraph a) of paragraph 1 of article 6, all of Law No. 58/2019, of August 8, which implements the GDPR in the internal legal order.

II.

Analysis

3. The Proposal for Law under analysis aims to authorize the Government to approve the regime for the assignment and management of bank credits, transposing Directive (EU) 2021/2167 of the European Parliament and of the Council, of November 24, 2021, regarding credit managers and credit purchasers, and amending Directives 2008/48/EC and 2014/17/EU.
4. The legislative authorization referred to in the previous number encompasses: the regulation of the assignment of credits and the contractual position in credit contracts; the definition and regulation of the requirements for access to and exercise of the activity of managing credits subject to assignment under the previous subparagraph; the definition of the supervisory regime for the activity of credit managers, assignors, and assignees; and the definition of the applicable sanctioning regime. The Proposal for Law also aims to authorize the Government to approve the Regime of the Central Credit Responsibilities.
5. For the purpose of the provisions in the previous numbers, it is intended to authorize the Government to make the necessary amendments to the following diplomas: Decree-Law No. 453/99, of November 5, which establishes the regime for the securitization of credits, their managing companies, and credit securitization companies, in its current wording; Decree-Law No. 156/2005, of September 15, which establishes the obligation to make the complaints book available to all suppliers of goods or service providers who have contact with the general public, in its current wording; Decree-Law No. 133/2009, of June 2, which transposes into the internal legal order Directive No. 2008/48/EC of the European Parliament and of the Council of April 23, regarding credit contracts for consumers, amended by Decree-Laws No. 72-A/2010, of June 18, 42-A/2013, of March 28, and 74-A/2017, of June 23, and by Law No. 57/2020, of August 28; Decree-Law No. 74-A/2017, of June 23, which approves the regime for credit contracts related to real estate, establishing the applicable rules for credit to consumers when secured by mortgage or other rights over real estate, and partially transposes into the internal legal order Directive No. 2014/17/EU of the European Parliament and of the Council, of February 4, 2014, regarding credit contracts for consumers for properties intended for housing and amending Directives No. 2008/48/EC and 2013/36/EU and Regulation (EU) No. 1093/2010, amended by Regulation (EU) No. 2016/1011 of the European Parliament and of the Council, of June 8, 2016, amended by Laws No. 32/2018, of July 18, 13/2019, of February 12, and 57/2020, of August 28, by Decree-Law No. 20-B/2023, of March 22, and by Law No. 24/2023, of May 29; and Decree-Law No. 27/2023, of April 28, which approves the regime for asset management, amended by Decree-Law No. 89/2024, of November 18.
6. From the perspective of the right to the protection of personal data, the proposed amendments to the diplomas identified in the previous number do not have significant impact or repercussions.

ANNEX I

Regime for the Assignment and Management of Bank Credits

7. Regarding Annex I of the authorized draft Decree-Law, related to the Regime for the Assignment and Management of Bank Credits, it is noted that article 4 is titled "Personal Data." In paragraph 1, it states that "The processing of personal data for the purposes of this regime complies with the applicable legislation on the protection of personal data, namely the GDPR and Law No. 26/2016, of August 22, in its current wording, Law No. 58/2019, of August 8, and Law No. 59/2019, of August 8."

8. However, the reference to Law No. 26/2016, of August 22, in this context is not understood, as it approves the regime for access to administrative and environmental information and the reuse of administrative documents, transposing Directive 2003/4/EC of the European Parliament and of the Council, of January 28, and Directive 2003/98/EC of the European Parliament and of the Council, of November 17.

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9. In turn, Law No. 59/2019, of August 8, establishes the rules regarding the protection of individuals concerning the processing of personal data by the competent authorities for the purposes of prevention, detection, investigation, or repression of criminal offenses or enforcement of criminal sanctions, including the safeguarding and prevention of threats to public security, transposing into the internal legal order Directive (EU) 2016/680 of the European Parliament and of the Council, of April 27, 2016. Its application to the text under analysis is not foreseen.

10. Thus, the CNPD recommends the removal of the reference to these two legal instruments in order to clarify the applicable legislation regarding the protection of personal data.

11. It should be noted that the reference to these two legal instruments is also made in Article 13(1)(d), so the observations made herein are reproduced.

12. Paragraph 2 of Article 4 states that institutions, assignees, and credit managers are responsible for complying with the duties of information, access, rectification, opposition, and deletion of data. This concerns the exercise of the rights of data subjects, as provided in Articles 13 to 22 of the GDPR, which can be exercised before the data controllers. The text is silent regarding the indication of the data controller and the manner of exercising the rights of the data subjects.

13. It is emphasized that the text does not address the essential aspects of the personal data processing regime, except for the definition of a data retention period, limiting itself to stating that the processing of personal data for the purpose of this regime complies with the applicable legislation on the protection of personal data. In this regard, the CNPD recommends the explicit inclusion of these essential aspects, indicating the data controller who will be responsible for ensuring the rights of the data subjects and the manner of exercising these rights, in accordance with the provisions of the GDPR and Law No. 58/2019, of August 8.

14. Regarding paragraph 3 of Article 4, the unclear wording used is surprising. In fact, it states that the compliance with the information duties regarding personal data, for the purposes of Article 9, is carried out at the first contact regarding the sending of information concerning the assignment. However, Article 9 pertains to the duty of the assigning credit institution to provide information about assignments to the Bank of Portugal. Such information includes the LEI code of the assignee, or in its absence, the identification of the assignee or the members of the management body of the assignee and the holders of qualified participations in the assignee, the address of the assignee, the total debt balance, the average value of the assignments during that period, and whether the assignments include credit contracts entered into with consumers and the type of guarantee associated.

15. The right to information of data subjects regarding the conditions of data processing, to be carried out at the time of collection, should not be confused, as seems to be the case, with the duty of information regarding assignments to the Bank of Portugal.

16. It is thus suggested to reformulate this clause in order to clarify its meaning.

17. Finally, regarding Article 4, its paragraph 4 states that the data communicated under this article are retained for a period of 5 years, in compliance with the principle of data retention limitation enshrined in paragraph (e) of Article 5 of the GDPR.

18. In turn, Article 21 of Annex I establishes the suitability requirements for the members of the management body and holders of qualified participations of a credit manager. Thus, only persons who

have suitability may be members of the management body and holders of qualified participations of a credit manager, with the provisions of Article 30-D of the general regime of credit institutions and financial companies, approved in annex to Decree-Law No. 298/92, of 31.

19. Therefore, to assess suitability, the following must be taken into consideration: the existence of accusation, indictment, or conviction, in Portugal or abroad, in which the person is involved in the commission of crimes, namely against property or assets, crimes against physical integrity and crimes of breach of secrecy, crimes provided for in the legislation of the banking sector, insurance, pension funds, crimes against the market, money laundering, usury, fraud, tax crimes, insolvency, crimes against consumers or crimes provided for in corporate law; the existence of ongoing insolvency proceedings, including those in which insolvency has not yet been declared; additionally, in the case of members of the management body: i) the manner of acting before supervisory authorities, namely, the degree and level of transparency, openness, and cooperation; ii) the accumulation of relevant facts of lesser gravity.

20. The processing of these particularly sensitive data finds its lawful basis in compliance with a legal obligation to which the data controller is subject under paragraph (c) of paragraph 1 of Article 6, with the processing of part of these data necessary for the assessment of suitability complying with the requirements listed in Article 10 of the GDPR.

21. Regarding the personal data listed in Article 22 of Annex I, for the instruction of the request for authorization to exercise the activity of credit manager (submitted electronically, through the completion and submission of an electronic form available on the website of the Bank of Portugal), they are found to be adequate and necessary for the purpose in question in compliance with the principle of data minimization enshrined in paragraph (c) of paragraph 1 of Article 5 of the GDPR.

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22. It is also important to mention that under paragraph 2 of Article 50 of Annex I, the Bank of Portugal (BdP) may maintain an internal register of credit managers for the purposes of organizing supervision, which includes, in particular, the identification details of the members of the management bodies and holders of qualified participations. The text is not clear regarding the categories of personal data that will be part of this internal file, given the use of the term "in particular."

23. It should be noted that Article 55 regarding "Regulation" establishes that the BdP may approve the necessary regulations for the application of this regime and, in subparagraph f), states that it may approve regulations concerning the elements of the public register and the internal register of credit managers, as well as the rules for their updating. Thus, the CNPD reserves its assessment of the elements contained in the internal register until the moment of its regulation by the BdP.

B - ANNEX II - Regime of the Central Credit Responsibilities

24. Annex II establishes the Regime of the Central Credit Responsibilities (CRC), which aims at the centralization of financial, accounting, and risk information regarding credit responsibilities arising from credit operations carried out by participating entities, in any form or modality.

25. The functioning of the CRC is ensured by the Bank of Portugal.

26. Under paragraph 3 of Article 5 of Annex II, there may be interconnection of CRC information with other databases available at the Bank of Portugal. It is necessary to delineate the interconnection in question, under penalty of concluding a violation of the principle of proportionality, in terms of necessity and prohibition of excess, to which the law is bound in the restriction of rights, freedoms, and guarantees, according to Article 18, paragraph 2 of the CRP. Thus, it becomes essential to specify in this provision the databases that will be subject to interconnection.

27. In turn, Article 6 of Annex II, regarding access to information, refers to the regulation of the Bank of Portugal for the definition of the terms of the monthly transmission made by the Bank to the participating entities referred to in subparagraphs a) to d) and in sub-subparagraph i) of subparagraph g) of paragraph 1 of Article 3, the centralization of responsibilities related to the direct beneficiaries of the credits and potential debtors, associated with the credit contracts communicated by them in that month. On the other hand, the participating entities referred to in subparagraphs a) to d) and in sub-subparagraph i) of subparagraph g) of paragraph 1 of Article 3 may request, under the terms provided in the regulation of the Bank of Portugal, to be informed of the information contained in the

CRC regarding the last centralization related to individuals, legal entities, or others, including credit events that occurred since the last available centralization, if they have requested credit or granted authorization for that purpose.

28. Furthermore, the participating entities referred to in subparagraph f) and in sub-subparagraphs ii) and iii) of subparagraph g) of paragraph 1 of Article 3 may request, for the purposes of credit renegotiation and under the terms provided in the regulation of the Bank of Portugal, to be informed of the information provided in paragraphs 2 and 3, with the express consent of the debtor for that purpose. Insurance companies that operate credit and surety insurance may access the centralized information, in accordance with the respective legislation and under the terms provided in the regulation of the Bank of Portugal.

29. Thus, the CNPD reserves its opinion on the terms under which access to information is realized until the respective regulations are drafted by the BdP.

30. In turn, paragraph 2 of Article 8 establishes that participating entities and the entities referred to in paragraph 5 of Article 6 may not transmit the information received from the CRC to third parties, except in cases legally provided for, without prejudice to the right of information and access of the data subject to their personal data under the terms of the legislation regarding data protection. The text is not clear as it seems to simultaneously regulate the prohibition of communicating the information received from the CRC to third parties and the exercise of the right of information and access of data subjects to the processing of the same. It is therefore suggested that this provision be clarified, recommending that the regulation of the rights of data subjects be made in a separate section dedicated to the matter of personal data protection.

31. In Article 9 of the aforementioned Annex II, access to information managed by the Tax and Customs Authority (AT) by the BdP is proposed, taking into account the following purposes: i) to confirm the coincidence between the identification data of the participants in the credit operation transmitted by the participating entity and the data contained in the tax identification databases and to complete the information of the CRC, ensuring the reliability of the respective data.

32. Thus, it is established that the Tax and Customs Authority shall communicate to the Bank of Portugal the following information about individuals contained in its databases: Tax identification number; Name, District or municipality of tax residence; Country of residence; Gender; Nationality; Indicator of death; Date of birth; Date of start and end of activity.

33. There is nothing to object regarding the realization of the identification data now operated. Such data are adequate and necessary concerning the purposes for which they are processed in compliance with the principle of data minimization provided for in subparagraph c) of paragraph 1 of Article 5 of the GDPR.

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34. It should be noted that under paragraph 3 of article 9, the communication of data between the Tax and Customs Authority and the Bank of Portugal is subject to a protocol to be established between the two entities.

35. It further provides that the protocol referred to in the previous number ensures, in particular, the application of appropriate technical and organizational measures to ensure the confidentiality, integrity, availability, and permanent resilience of the systems that support the communication of data.

36. The CNPD recalls that protocols, insofar as they correspond to legal acts of public entities that define binding rules for the parties regarding the processing of personal data, have the nature of administrative regulations. In this regard, under paragraph 4 of article 36 and item c) of paragraph 1 of article 57 of the GDPR, they must be subject to prior assessment by the CNPD. To avoid any doubt regarding this obligation, the CNPD suggests its clarification in the text of the article.

37. A note also regarding international cooperation provided for in article 10 of the proposed law. It states that the Bank of Portugal may exchange information on credit liabilities with the European Central Bank and the bodies of the Member States participating in the common database of granular analytical data regarding credit regulated by Regulation (EU) 2016/867 of the European Central Bank of May 18, 2016, under its respective regulation.

38. In turn, paragraphs 2 and 3 of this article refer to data transfers to third countries or international organizations, stating that the Bank of Portugal may also exchange information on credit liabilities with

the bodies responsible for centralizing these liabilities in other countries, namely, within the scope of cooperation agreements, including mutual cooperation. The Bank of Portugal may only provide confidential information to foreign bodies if they benefit from guarantees of secrecy equivalent to those established in Portuguese law.

39. According to the GDPR, data transfers to third countries or international organizations may only occur based on a decision of adequacy by the European Commission or, in its absence, if the transfers are subject to adequate guarantees.

40. In fact, under article 46 of the GDPR, in the absence of an adequacy decision by the Commission, data controllers may only transfer personal data to a third country if they have provided adequate guarantees, and on the condition that data subjects enjoy enforceable rights and effective legal remedies. It should be noted that subject to the authorization of the CNPD, adequate guarantees may also be provided through contractual clauses or provisions to be included in administrative agreements between authorities or public bodies that contemplate the effective and enforceable rights of data subjects. It is therefore important to clarify article 10 of Annex II for greater rigor and legal clarity.

41. Lastly, it is important to mention that Annex II makes no reference to the legal regime applicable to the processing of data resulting from its application. Only paragraph 2 of article 8 states that the entities referred to in the previous number may not transmit the information received from the CRC to third parties, except in cases legally provided for, without prejudice to the right of information and access of the data subject to their personal data under the legislation relating to data protection.

42. The CNPD recommends that the text under analysis expressly enshrine the essential aspects of the personal data processing regime, indicating in particular the data controller who will be responsible for ensuring the rights of data subjects, the manner of exercising the rights of data subjects, the retention period of the data, in accordance with the provisions of the GDPR and Law No. 58/2019, of August 8, which implements the GDPR in the internal legal order.

III.

Conclusion

43. In accordance with the terms and grounds set forth, the CNPD recommends:

A

Annex I:

a) The elimination of the reference to Law No. 26/2016, of August 22, and Law No. 59/2019, of August 8, in order to clarify the applicable legislation regarding personal data protection;

b) The reformulation of paragraph 3 of article 4 to clarify that the right of information of data subjects regarding the conditions of data processing, to be carried out at the time of collection, is distinct from the duty of information regarding transfers to the Bank of Portugal;

B

Annex II

c) The clarification in article 9 of the Proposal that the protocols provided for must be subject to prior consultation with the CNPD under paragraph 4 of article 36 and item c) of paragraph 1 of article 57 of the GDPR;

d) The specification in paragraph 3 of article 5 of the Proposal of the databases that will be subject to interconnection;

e) The clarification of paragraph 2 of article 8 in the terms described in point 30;

f) The reformulation of article 10 to specify the legal requirements for such transfers to occur; and

g) The explicit enshrinement in the analyzed text of the essential aspects of the personal data processing regime, in accordance with the provisions of the GDPR and Law No. 58/2019, of August 8, which implements the GDPR in the internal legal order.

Approved at the meeting of February 25, 2025

Paula Meira Lourenço (President)